PROTEZ FOUNDATION

Financial Statements

December 31, 2023

PROTEZ FOUNDATION

Table of Contents

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INDEPENDENT AUDITOR'S REPORT

Board of Directors
Protez Foundation
Oakdale, Minnesota

We have audited the accompanying financial statements of Protez Foundation (a nonprofit foundation), which comprise the statement of financial position as of December 31, 2023, and the related statement of activities, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Protez Foundation as of December 31, 2023, and the changes in net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Protez Foundation and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Protez Foundation's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor'sreport that includes our opinion. Reasonable assurance is a high level of assurance but is

INDEPENDENT AUDITOR'S REPORT, continued

not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements, including omissions, are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Protez Foundation's internal control. Accordingly, no such opinion is expressed.

- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.

- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Protez Foundation's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Report on Summarized Comparative Information

We have previously audited Protez Foundation's 2022 financial statements, and we expressed an unmodified audit opinion on those audited financial statements in our report dated November 1, 2023. In our opinion, the summarized comparative information presented herein as of and for the eight months ended December 31, 2022 is consistent, in all material respects, with the audited financial statements from which it has been derived.

November 11, 2024

Akins Henke and Company

PROTEZ FOUNDATION
Statements of Financial Position
December 31, 2023 and 2022

ASSETS

		2023	2022
Current assets:			
Cash	$	130,636	412,100
Prepaid expense		4,882	2,500
Total current assets		135,518	414,600
Right of use assets - operating leases		414,092	112,230
Furniture, equipment, and leasehold improvements, net		211,118	31,557
Total Assets	$	760,728	558,387

LIABILITIES AND NET ASSETS

		2023	2022
Current liabilities:			
Accounts payable	$	16,777	93,839
Lease liability - operating leases		83,636	40,520
Accrued compensation		8,736	6,736
Total current liabilities		109,149	141,095
Lease liability - operating leases		341,855	72,418
Total liabilities		451,004	213,513
Net assets:			
Without donor restrictions		309,724	344,874
Total Liabilities and Net Assets	$	760,728	558,387

See accompanying notes to the financial statements.

PROTEZ FOUNDATION

Statement of Activities

For the Year Ended December 31, 2023

With Comparative Totals For the Eight Months Ended December 31, 2022

	Without Donor Restrictions	With Donor Restrictions	Total 2023	Total 2022
REVENUE AND SUPPORT				
Contributions	$ 3,481,771	-	3,481,771	1,013,057
Donated goods and services	80,700	-	80,700	65,329
Other income	1,902	-	1,902	-
Total support	3,564,373	-	3,564,373	1,078,386
Fundraising events	163,662	-	163,662	-
Less cost of direct benefits to donors	(102,443)	-	(102,443)	-
Net special events	61,219	-	61,219	-
Total Support and Revenue	3,625,592	-	3,625,592	1,078,386
EXPENSES				
Program	3,479,079	-	3,479,079	699,520
Support services:				
Management and general	84,718	-	84,718	20,826
Fundraising	96,945	-	96,945	13,166
Total Expenses	3,660,742	-	3,660,742	733,512
CHANGE IN NET ASSETS	(35,150)	-	(35,150)	344,874
NET ASSETS - BEGINNING OF YEAR	344,874	-	344,874	-
NET ASSETS - END OF YEAR	$ 309,724	-	309,724	344,874

See accompanying notes to the financial statements.

PROTEZ FOUNDATION

Statement of Functional Expenses

For the Year Ended December 31, 2023

With Comparative Totals For the Eight Months Ended December 31, 2022

	Program	Management and General	Fundraising	Cost of Direct Benefits to Donors	Total 2023	Total 2022
Salaries	$ 324,955	18,411	57,026	-	400,392	36,580
Payroll taxes	33,760	1,904	5,766	-	41,430	6,286
Grants	57,478	-	-	-	57,478	25,000
Prosthetic supplies	1,914,758	-	-	-	1,914,758	440,618
Clinic needs	83,440	6,003	-	-	89,443	18,664
Fabrication	36,793	-	-	-	36,793	20,364
Travel	424,187	-	-	-	424,187	71,891
Patient expenses	223,789	-	-	-	223,789	29,628
Protez Academy supplies	17,759	-	-	-	17,759	-
Occupancy	190,963	1,893	1,221	-	194,077	14,047
Insurance	7,298	74	74	-	7,446	-
Postage	13,862	783	2,472	-	17,117	275
Office expense	-	35,883	-	-	35,883	5,609
Meetings and conferences	48,549	-	-	-	48,549	-
Fundraising supplies	-	-	25,008	-	25,008	2,799
Professional fees	90,679	19,215	5,276	-	115,170	60,529
Special events - direct donor benefits	-	-	-	102,443	102,443	-
Depreciation	9,990	102	102	-	10,194	1,102
Miscellaneous	819	450	-	-	1,269	120
Total	3,479,079	84,718	96,945	102,443	3,763,185	733,512
Less: Expenses netted against revenues on the Statement of Activities:						
Special events expenses	-	-	-	(102,443)	(102,443)	-
Total expenses included in the expense section on the Statement of Activities						
Total Expenses	$ 3,479,079	84,718	96,945	-	3,660,742	733,512

See accompanying notes to the financial statements.

PROTEZ FOUNDATION
Statements of Cash Flows
For the Year Ended December 31, 2023
and For the Eight Months December 31, 2022

	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES:		
Change in net assets	$ (35,150)	344,874
Adjustments to reconcile change in net assets to net cash from operating activities:		
Depreciation	10,194	1,102
Donated furniture and equipment	-	(5,800)
Increase in prepaid expense	(2,382)	(2,500)
Increase in right of use asset - operating lease	(301,862)	(112,230)
Increase (decrease) in accounts payable	(77,062)	93,839
Increase in lease liability - operating lease	312,553	112,938
Increase in accrued compensation	2,000	6,736
Net cash provided by (used for) operating activities	(91,709)	438,959
CASH FLOWS FROM INVESTING ACTIVITIES:		
Purchase of furniture, equipment, and leasehold improvements	(189,755)	(26,859)
Net cash used for investing activities	(189,755)	(26,859)
CASH FLOWS FROM FINANCING ACTIVITIES:		
Proceeds from loan payable	50,000	-
Payments on loan payable	(50,000)	-
Net cash provided by (used for) financing activities	-	-
INCREASE (DECREASE) IN CASH	(281,464)	412,100
CASH - BEGINNING OF YEAR	412,100	-
CASH - END OF YEAR	$ 130,636	412,100

See accompanying notes to the financial statements.

(1) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Nature of Foundation

Protez Foundation (the Foundation) was incorporated and began operations in May 2022 as a non-profit that provides care for Ukrainians who have lost limbs and need prosthetics. Protez Foundation's mission is to provide free prosthetics and other resources for those who lost limbs, especially as a result of wars, in underserved areas of the world. The goal is to cover all financial needs for a person to get prosthetics such as visa fees, lodging and the prosthetics. Once in the United States, the Foundation provides basic orientation, logistics and psychological support. In order to serve more individuals, the Foundation opened two locations in Ukraine in 2023.

As part of the Foundation's programming, the Foundation created Protez Academy in 2023. This is an educational program created by a team of U.S. professionals and faculty in the field of prosthetists, physical rehabilitation, and surgeons aimed at facilitating the expertise exchange between Ukrainian medical professionals and their counterparts in the U.S.

Basis of Presentation

The accompanying financial statements are presented on the accrual basis in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP). Under U.S. GAAP, the Foundation is required to report information regarding its financial position and activities according to two classes of net assets.

Without Donor Restrictions - Resources over which management and the Board of Directors have discretionary control.

With Donor Restrictions - Those resources subject to donor-imposed restrictions which will be satisfied by actions of the Foundation, or passage of time, or that will be maintained in perpetuity by the Foundation. The Foundation had no net assets with donor restrictions as of December 31, 2023 and 2022.

Revenue and Support

The Foundation recognizes contributions when cash, securities, unconditional promises to give, or other assets are committed by the donor. Conditional contributions - that is, those with a measurable performance or other barrier and a right of return - are not recognized until the conditions on which they depend have been met.

(1) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, (continued)

Revenue and Support, (continued)

Contributions are recorded as support without donor restrictions or support with donor restrictions, depending on the existence and/or nature of any donor restrictions. Support that is restricted by the donor is reported as an increase in net assets with donor restrictions.

For 2023, fundraising events consist of a winter gala and a first anniversary gala. There were no fundraising events in 2022. Fundraising event revenue consists of registrations, sponsorships and other contributions. For 2023, the exchange element of the special event revenue was approximately $102,000 with the remaining portion being considered contributions. The portion that is considered exchange revenue is recognized as revenue when the performance obligations are met, which is the occurrence of the event.

When a restriction expires (that is, when a stipulated time restriction ends or purpose restriction is accomplished), net assets with donor restrictions are reclassified to net assets without donor restrictions and reported in the statement of activities as net assets released from restrictions. Contributions received with donor-imposed restrictions that are met in the same reporting period are reported as contributions without donor restrictions.

Donated Goods and Services

Donated services are recognized as contributions if they (a) create or enhance nonfinancial assets or (b) require specialized skills, are performed by people with those skills and would otherwise be purchased by the Foundation. Donated goods are valued at fair value at the date of donation. Donated goods and services consist of various items and services relating to professional fees and equipment.

A number of volunteers have made significant contributions of their time to the Foundation to help with programs and activities. The value of this contributed time is not reflected in the financial statements since such time valuation does not conform to recognition standards under U.S. GAAP.

Concentration of Revenue and Support

In 2023 and 2022, approximately 31% and 10%, respectively, of the Foundation's total revenue and support came from one donor.

(1) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, (continued)

Grants

Unconditional grants are recorded as an expense when approved by the Foundation's Board of Directors. Grants that are subject to conditions are recorded as an expense when the conditions have been substantially met.

Cash

Cash is defined as cash in checking. The Foundation maintains checking accounts at one financial institution the United States and one financial institution in Ukraine. The U.S. accounts are insured by the Federal Deposit Insurance Corporation (FDIC) for up to $250,000. The Ukraine accounts are uninsured. At December 31, 2023 and 2022, the Foundation had uninsured cash balances of approximately $21,800 and $107,200, respectively.

Furniture, Equipment and Leasehold Improvements

Furniture, equipment, and leasehold improvements are recorded at cost. Contributed furniture and equipment are recorded at fair value at the date of donation. Additions and betterments in excess of $2,500 are capitalized while replacements, maintenance, and repairs that do not improve or extend the life of the respective assets are expensed in the current period. Depreciation is provided, using the straight-line method, over the following estimated useful lives:

	Years
Leasehold Improvements	3-5
Furniture and Equipment	5-7

Leases

The Foundation accounts for leases in accordance with FASB ASC 842. The Foundation determines if an arrangement is a lease, or contains a lease, at the inception of a contract and when terms of an existing contract are changed. The Foundation determines if an arrangement conveys the right to use an identified asset and whether the Foundation obtains substantially all of the economic benefits and has the ability to direct the use of the asset. The Foundation recognizes a lease liability and right of use asset at the commencement date of the lease.

A lease liability is measured based on the present value of its future lease payments. Variable payments are included in the future lease payments when those variable payments depend on an index or rate stated in the lease and are measured using the index or rate at the commencement date. Lease payments are remeasured when any of the following occur:

(1) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, (continued)

Leases, (continued)

(1) the lease is modified (and the modification is not accounted for as a separate contract), (2) certain contingencies related to variable lease payments are resolved, or (3) there is a reassessment of any of the lease terms, purchase options, or amounts that are probable of being owed under a residual value guarantee. The discount rate is the rate implicit in the lease if it is readily determinable; otherwise, the Foundation has elected to use the risk-free discount rate for a comparable lease term.

A right of use asset is measured at the commencement date at the amount of the initially measured lease liability plus any lease payments made to the lessor before commencement date, minus any lease incentives received, plus any initial direct costs. Unless impaired, the right of use assets are amortized on a straight-line basis over the shorter of the lease term or the remaining useful life of the asset.

The Foundation has elected for all underlying classes of assets, to not recognize right of use assets and lease liabilities for short-term leases that have a lease term of 12 months or less at lease commencement, and do not include an option to purchase the underlying asset that the Foundation is reasonably certain to exercise. Lease payments for short-term leases are recognized on straight-line basis.

Use of Estimates

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Functional Allocation of Expense

The costs of providing programs and other activities have been summarized on a functional basis in the statement of activities. The statement of functional expenses presents the natural classification detail of expenses by function. The financial statements report certain categories of expenses that are attributable to more than one program or supporting function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. Salaries, payroll taxes, postage, and certain professional fees are allocated based upon staff time worked in the various functions. Occupancy, insurance, and depreciation are allocated based on square footage of the Foundation’s space.

(1) SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, (continued)

Income Tax

The Foundation is exempt from federal and state income taxes under Section 501(c)(3) of the Internal Revenue Code. U.S. GAAP requires management to evaluate tax positions taken by the Foundation and recognize a tax liability if the Foundation has taken an uncertain position that more likely than not would not be sustained upon examination by the Internal Revenue Service. Management has analyzed the tax positions taken by the Foundation and has concluded that as of December 31, 2023 and 2022, there were no uncertain positions taken or expected to be taken that would require recognition of a liability or disclosure in the financial statements.

Subsequent Events

Management has evaluated subsequent events for potential recognition and disclosure through November 11, 2024, the date which the financial statements were available for issue.

Reclassification

Certain 2022 amounts have been reclassified for comparability purposes with those of 2023.

Prior Year Summarized Information

The financial statements include certain prior year summarized information in total but not by net asset class nor by functional category. Such information does not include sufficient detail to constitute a presentation in conformity with U.S. GAAP. Accordingly, such information should be read in conjunction with the Foundation's financial statements for the eight months ended December 31, 2022, from which the summarized information was derived.

(2) LIQUIDITY AND FINANCIAL ASSETS

The Foundation regularly monitors liquidity required to meet its operating needs. Monthly cash requirements are in the business checking accounts. At December 31, 2023 and 2022, the Foundation has $130,636 and $412,100, respectively, of financial assets available within one year of the statement of financial position date consisting of cash. None of the Foundation's financial assets are subject to donor or other contractual restrictions that make them unavailable for general expenditure within one year.

(3) FURNITURE, EQUIPMENT AND LEASEHOLD IMPROVEMENTS

Furniture and equipment as of December 31, 2023 and 2022 were as follows:

	2023	2022
Furniture and equipment	$ 26,860	26,859
Leasehold improvements	156,660	-
Vehicle	38,894	5,800
	222,414	32,659
Less accumulated depreciation	(11,296)	(1,102)
Total	$ 211,118	31,557

(4) LEASES

Operating Leases

The Foundation leases office space in the United States and Ukraine. The Foundation has classified these leases as operating leases. The leases do not include termination options for either party to the lease, guaranteed residual values or restrictive financial or other covenants. The terms of the leases are as follows:

United States

Under the terms the lease, the Foundation had an obligation as a lessee for office space with initial noncancelable terms of one year and a renewal option of two successive one year terms that were reasonably certain to be exercised. The lease term of 3 years, which included the renewal options was set to expire on September 30, 2025. In November 2023, this lease was replaced by a new lease. Under the terms of the new office space lease, the Foundation has an obligation as a lessee for the same office space with initial noncancelable terms of one year and a renewal option of two successive one year terms that are reasonably certain to be exercised. The lease has a term of 3 years, which includes the renewal options, and expires October 31, 2026.

The office lease provides for increases in future minimum annal rental payments and variable payments for the Foundation's share of utilities. The variable lease payments for utilities are not included in lease payments used to determine lease liabilities and are recognized as variable lease costs when incurred. The Foundation used the risk-free discount rate of 5.44% to determine the lease liability and related right of use asset.

(4) **LEASES, (continued)**

Ukraine

Under the terms of the lease, the Foundation had an obligation as a lessee for office space with initial noncancelable terms of five years. The lease does not contain a renewal option. The lease expires September 30, 2028.

The office lease provides for increases in future minimum annal rental payments and variable payments for the Foundation's share of utilities. The variable lease payments for utilities are not included in lease payments used to determine lease liabilities and are recognized as variable lease costs when incurred. The Foundation used the risk-free discount rate of 5.38% to determine the lease liability and related right of use asset.

Operating lease costs are included in occupancy expense on the statement of functional expenses. Total operating lease costs for the year ended December 31, 2023 and the eight months ended December 31, 2022, were $62,534 and $4,466, respectively.

Right of use assets obtained in exchange for lease liabilities for the year ended December 31, 2023 and 2022 were $417,724 and $115,470, respectively.

The future minimum lease payments under noncancelable operating leases as of December 31, 2023 are as follows:

2024	$ 106,618
2025	126,122
2026	130,274
2027	70,460
2028	55,180
Total lease payments	488,654
Less present value adjustment	(63,163)
Present value of lease liabilities	$ 425,491

Short-Term Leases

The Foundation has two short-term leases for office space and four short-term leases for patient housing. These are twelve-month leases with various maturities through July 31, 2024. During 2024, these leases were renewed for twelve months with various maturities through July 31, 2025.

The short-term lease costs for the office space are included in occupancy expense on the statement of functional expenses. Total short-term office space lease costs for the year ended December 31, 2023 was $4,375. There were no short-term office space least costs for 2022.

(4) LEASES, (continued)

The short-term lease costs for the patient housing are included in patient expenses on the statement of functional expenses. Total short-term patient housing lease costs for the year ended December 31, 2023 were $41,752. There were no short-term patient housing lease costs for 2022.

For 2023 and 2022, the Foundation also received donated patient housing of $10,500 and $7,000 respectively. The donated patient housing is included in patient expenses on the statement of functional expenses.

The future minimum lease payments under short-tern leases as of December 31, 2023 are as follows:

2024	$ 65,300
2025	32,700
Total short-term lease payments	$ 98,000

(5) DONATED GOODS AND SERVICES

For 2023 and 2022, the Foundation received and recorded the following donated goods and services:

	2023	2022
Rent	$ 10,500	7,000
Vehicle	-	5,800
Professional services	70,200	52,529
	$ 80,700	65,329

The donated vehicle is used in the delivery of service to patients. The Foundation estimates the fair value of the vehicle on the basis of estimates of the current market rates for similar vehicles.

The Foundation received donated housing for patients to use while they are receiving services. The Foundation estimates the fair value of the rent based on current market rental rates for similar houses.

Professional services include legal fees, prosthetist fees, and other health professionals. The legal fees are used by the Foundation and are administrative in nature. Prosthetist fees and other health professionals are used in the delivery of services to patients. The Foundation estimates the fair value of these services based on current market rates for similar services. The donated goods and services were received without donor restrictions and are not monetized.

(6) LOANS PAYABLE

In November 2023, the Foundation borrowed $50,000 from another non-profit organization. A board member of the Foundation is also a board member of the nonprofit organization. This loan was a six-month interest free loan. The Foundation paid the full loan in December 2023.

In September 2024, the Foundation borrowed $380,250 to purchase property to house patients. The loan bears interest at a rate of 8.5%, matures September 27, 2029, and is secured by the property. The Foundation will make interest and principal payments of $2,956.70 with the balance due on maturity. Future principal payments on the promissory note payable are as follows:

2024	$ 795
2025	3,356
2026	3,652
2027	3,975
2028	4,326
2029	364,146
Total	$ 380,250